

*The Long Term Wave*

Figure [18-1] shows the monthly CRB Price Index from 1956 through 1980. The breakdown of waves is quite clear, and the price channel is perfectly parallel. Each upward impulse wave subdivides into five waves, as per Elliott rules. The third wave is the largest percentage rise and is the most dynamic wave, as dictated by Elliott guidelines. Fibonacci numbers and ratios are also present to a significant degree.

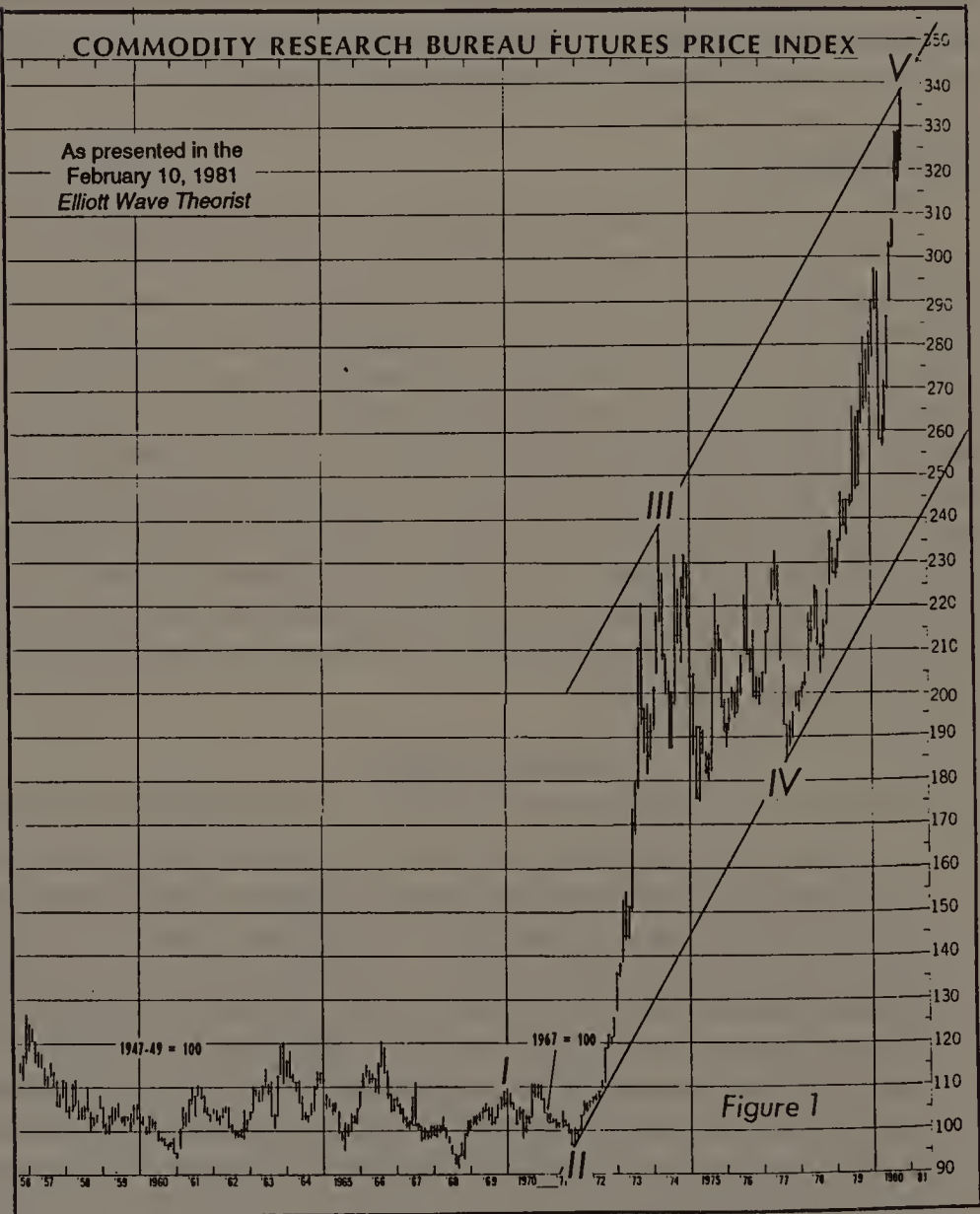


Figure 18-1